



PAYROLL ACCOUNTING

(125)

STATE 2025

Multiple Choice & Short-Answer:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short Answer (18 @ 2 points each) _____ (36 points)

Production:

Job 1: Employer's Tax Liability (4 @ 5 points each) _____ (20 points)

Job 2: Time Card (14 @ 2 points each) _____ (28 points)

Job 3: Payroll Transaction (26 @ 1 point each) _____ (26 points)

TOTAL POINTS _____ ***(150 points)***

Graders: Please double check and verify all scores and answer keys!

General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn overtime at a rate of 1.5 times their pay for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% for Federal Unemployment Tax (\$7,000 ceiling)
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated

MULTIPLE CHOICE: (20 @ 2 points each=40 points)

1.	B	11.	A
2.	B	12.	C
3.	C	13.	D
4.	D	14.	C
5.	D	15.	C
6.	B	16.	C
7.	C	17.	B
8.	C	18.	B
9.	B	19.	C
10.	A	20.	D

SHORT ANSWER: (18 @ 2 points each = 36 points)

1. **\$2,840.00**
2. **\$56,696.00**
3. **\$1,672.75**
4.

Semi-monthly	\$2,275.00
Bi-weekly	\$2,100.00
Weekly	\$1,050.00
Hourly pay rate	\$ 26.25
Overtime rate	\$ 39.38
5. **\$2,692.00**
6.

Office employees	\$ 361.20
Factory employees	\$13,642.50
7.

Social Security	\$1,866.20
Medicare	\$ 436.45
8.

a.	\$93,615.00
b.	\$ 2,836.82
9.

a.	\$ 129.36
b.	\$ 231.00
c.	\$ 7,495.28

Job 1: Employer's Tax Liability (5 points each bold answer = 20 points)FUTA liability **\$56.28**SUTA liability **\$379.89**Employer's Social Security liability **\$593.96**Employer's Medicare liability **\$138.91****Job 2: Time Card** (14 @ 2 points each =28 points)

TIME CARD			
Employee No. 034760		Week Ending February 28, 2024	
NAME: Anthony White		EXEMPTIONS: 1	
MARITAL STATUS: Single		HOURLY RATE: \$16.50	
DAY	IN	OUT	HOURS
Monday	8:03 AM	5:42 PM	8 ¾ or 8.75
Tuesday	7:58 AM	6:30 PM	9 ½ or 9.5
Wednesday	8:13 AM	6:55 PM	9 ¾ or 9.75
Thursday	8:01 AM	6:00 PM	9
Friday	8:00 AM	5:15 PM	8 ¼ or 8.25
Saturday	8:00 AM	3:58 PM	7
	HOURS	RATE	EARNINGS
Regular	40	\$16.50	\$660.00
Overtime	12 ¼ or 12.25	\$24.75	\$303.19
Totals	52 ¼ or 52.25		\$963.19

Job 3: Payroll Transactions (26 @ 1 point each = 26 points)

NOTE TO GRADER: Accept variations in account titles because of various textbooks used by students. Award points for account title as long as the student had the word “**payable**” or “**expense**” if required. Each item in the journal counts as 1 point.

GENERAL JOURNAL				
DATE	DESCRIPTION	POST REF	DEBIT	CREDIT
2024				
March 3	Salary Expense		36,520.00	
	Federal Income Tax Payable			7,130.00
	Social Security Tax Payable			2,264.24
	Medicare Tax Payable			529.54
	Insurance Premiums Payable			2,890.00
	Union Dues Payable			1,770.00
	Cash			21,936.22
3	Payroll Taxes Expense		5,058.02	
	Social Security Tax Payable			2,264.24
	Medicare Tax Payable			529.54
	FUTA Tax Payable			292.16
	SUTA Tax Payable			1,972.08